

Stock Market Basics — One-Page Summary

Bluestock Fintech Data Analytics Prerequisite

Concept	Working definition
Stock Market	Marketplace where shares and other securities are bought and sold.
NSE / BSE	India's two major stock exchanges: National Stock Exchange and BSE Ltd.
Nifty / Sensex	Nifty 50 tracks 50 major NSE-listed companies; Sensex tracks 30 major BSE-listed companies.
IPO / SME IPO	IPO is a company's first public issue of shares. SME IPOs use the exchange framework for small and medium e
Market Capitalization	Share price $\times$ outstanding shares; a measure of the market value of equity.
P/E	Market price per share $\div$ earnings per share.
P/B	Market price per share $\div$ book value per share.
EPS	Profit attributable to ordinary shareholders $\div$ weighted average ordinary shares.
Dividend	Distribution of part of a company's profits to shareholders.
Bonus / Split	Bonus issues add shares to existing holders; a split divides shares into smaller face-value units.
Trading Volume	Number of shares/contracts traded in a period; indicates activity, not profitability.
Balance Sheet	Assets, liabilities and equity at a specific date.
P&L Statement	Revenue, expenses and profit/loss over a period.
Cash Flow Statement	Cash generated and used by operating, investing and financing activities.
Basic Ratios	Profitability: margin/ROE; liquidity: current ratio; leverage: debt/equity; valuation: P/E/P/B.

Analyst reminder: ratios become more useful when compared across years, peers and the underlying business model. No single ratio should be read in isolation.

Reference starting points: SEBI Investor Education and Zerodha Varsity.